2.3 How Fluctuations in Market Value Create Opportunities

Before understanding the opportunities, let us look at the 2 broad sentiments of the market.

Bull Market

A bullish market means that stock prices for the overall market will go higher due to the positive sentiments of the investors.

- High investor confidence and their is a positive sentiment around overall economic environment.
- Investors get greedy and fear of missing out starts to kick-in. Consistent buying of stocks pushes its prices up.
- Tip: Avoid extremely high valuations while buying.

Bear Market

A bearish market means that stock prices for the overall market will go down due to the negative sentiments amongst the people.

- Low investor confidence and people perceive that the market is risky.
- Investors are fearful and tempted to sell off their investments to eliminate the risk of losing even more money. Negative sentiments are inbuilt in the price.
- Tip: To make money we must look for buying opportunities here.